INVESTMENT MEMO

Carolina Panthers: Is a 10% Stake at $8.1 Billion a Good Private-Equity Investment?

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All team-level financials are Forbes estimates; NFL teams are private. Model: Panthers_Valuation_Model.xlsx.

1. Recommendation: Pass at the headline price; buy at a 30%+ discount

At a $8.1bn headline value and the 20% limited-partner discount typical of NFL minority deals, a 10% stake costs about **$635mm**. In my base case it returns a **12.5% IRR**, over a six-year hold, short of a 15% private-equity hurdle. The deal clears the hurdle only if NFL franchise values keep compounding at **12.8% a year or faster**, or if the stake can be bought at a **30% or larger discount** (an effective entry near $5.6bn). I would pass at today's terms and buy if either of those conditions is met, with the 2029 media-rights opt-out as the catalyst to watch.

The core finding: on cash flow alone the Panthers are worth about **$2.2bn**. The market pays **3.7x that**. Everything above the cash-flow value is a bet on scarcity and on the next buyer paying a higher multiple. That bet has been right for 30 years; the question is whether it stays right for the next six.

2. The question and the rules

In 2024 the NFL began allowing approved private-equity firms (Arctos, Ares, Sixth Street, and a Carlyle-led consortium) to own 3% to 10% of a team, with a six-year minimum hold and no path to control. Arctos has since bought into the Bills, Browns, Chargers and Falcons; Ares into the Dolphins. Forbes values the Panthers at $8.1bn and Sportico at $8.07bn (September 2026), 26th of 32 teams. This memo asks whether a PE firm should buy 10% at that price.

3. What a buyer gets

- **A 1-of-32 scarcity asset.** No NFL team has ever been sold at a loss. Control stakes rarely trade; the Seahawks sold in August 2026 to the Khosla family for a record $9.6bn, 14.6x trailing revenue.
- **Guaranteed national revenue.** Each team receives more than $450mm a year from shared media, sponsorship and licensing before selling a ticket. The current media deals ($125bn over 11 years) run to 2033, with a league opt-out after the 2029 season that most observers expect to raise payouts.
- **A thin local business.** 2025 revenue was $646mm, so roughly 70% is national money. Local revenue (gate $102mm, sponsorship, suites) is small for a 2.9mm metro and a 30-year-old stadium.
- **Low operating profit.** EBITDA of $88mm (13.6% margin) is bottom-third in the league. Player costs ($366mm) are set by the salary cap, so margin is driven almost entirely by local revenue.
- **A stadium catalyst.** Charlotte approved $650mm of hospitality-tax funding for Bank of America Stadium in June 2024; Tepper Sports adds $150mm by 2028 and about $420mm more through 2039, with a 15-year commitment to stay. I assume a 20% lift to local revenue when the renovated stadium opens, in line with premium-seating gains other teams have reported; this is an assumption, not a Panthers figure.

4. Valuation

Method	Low ($mm)	High ($mm)	What it says
Published valuations (Sportico / Forbes)	8,070	8,100	Where the market says it trades
Precedent transactions, 2022–26 (8.8x–17.3x revenue)	5,700	11,200	Median deal multiple (12.7x) implies ~$8.2bn
DCF, exit multiple (7–10% rate, 10–14x)	5,000	8,800	Base case $7.0bn at 8% and 12x
DCF, perpetuity growth (7–10%, 3–5%)	1,300	4,100	Cash flows alone: ~$2.2bn base
My fair-value range	7,100	8,300	Below the 13.4x league average; above control-deal mean

Why the Panthers deserve a below-average multiple. A mid-sized market (2.9mm metro), bottom-third operating income, seven straight non-playoff seasons from 2018 to 2024 before a 2025 wild-card return, and no new stadium economics until 2028. The Broncos sold at 8.8x revenue in 2022 before the PE wave; the Dolphins' PE deal was struck at 12.3x. The Falcons' 17.3x is an outlier: buyers priced a revenue jump to $805mm that landed the following season.

Why not far below. The national-revenue floor, the renovation catalyst, and league-wide repricing: the average team value rose 34% in the past year, and minority-stake multiples have moved from 10.5x (Bills, 2024) to 13–15x (Giants, Browns, 2025).

5. The private-equity stake, three cases

	Bear	Base	Bull	Note
Team value growth per year	5%	10%	15%	Panthers: 17%/yr since 2017
Entry: 10% of equity after 20% LP discount	$635mm	$635mm	$635mm	$7.94bn equity x 80% x 10%
Exit proceeds, year 6 (discount narrows to 10%)	$957mm	$1,266mm	$1,652mm	Plus ~$21mm distributions
Multiple of invested capital	1.5x	2.0x	2.6x	
IRR	**7.5%**	**12.5%**	**17.5%**	**Hurdle 15%**

Distributions during the hold add less than one point of IRR: owners reinvest, and free cash flow is only $20mm to $130mm a year. The narrowing of the LP discount from 20% to 10% adds about two points. This is an appreciation trade, not a yield trade.

6. Key risks

- **Media rights disappoint.** If the 2029 opt-out produces no step-up, the exit-multiple DCF falls by roughly $400mm and the base IRR drops below 12%.
- **Multiple compression.** PE demand pushed minority multiples to 13–15x. If capital slows, multiples could revert toward the 11.5x control-deal average, implying about $7.4bn.
- **Liquidity.** A 10% stake has no control, no guaranteed exit, and a six-year lock-up. The discount may not narrow at exit.
- **On-field and brand.** The 2025 playoff run followed seven losing seasons; a return to losing would suppress local revenue, the only lever on margin.

- **Owner concentration.** Value is tied to David Tepper's decisions on spending, the stadium, and a possible future sale.

7. What would change my mind

- A clear read on the 2029 media renegotiation: a 15%+ uplift lifts the base case past 15%.
- Evidence the entry discount can be 30% rather than 20%: break-even appreciation falls to about 10%.
- A comparable small-market sale (Jaguars, Saints, Bengals) printed at 14x+ revenue.

Sources

Forbes NFL Team Valuations 2026 and Forbes team pages (Panthers, Seahawks, Broncos, Commanders, Giants, Falcons, Browns, Raiders, Dolphins, Bills); Sportico (2025 national revenue per team; NFL private-equity rules and deals); CNBC (Giants minority sale, Oct 2025; 2025 valuations); WFAE (Charlotte stadium funding vote, June 2024); Charlotte Business Journal via Yahoo Sports. Full links in the Sources tab of the model.